

2021, was listed in Parliament last year but is yet to be tabled for discussion. The bill deals with three issues, one is the Central Bank Digital Currency (CBDC); the second is promotion of blockchain technology; and the third is about banning private cryptocurrencies. So, the question is, when will the crypto bill be passed in India?

“The government is more concerned about currencies and taxation, which have already been dealt with separately. So in my judgement, that bill which was being prepared is a meaningless piece of draft now. I don’t see any reason or possibility that the government will come out with any law,” says Garg. Incidentally, the crypto bill was designed by a committee headed by Garg.

40 | In the absence of any clarity on regulations, cryptos are still traded on exchanges in India, leaving millions of people exposed to the risk of losing their money.

“You have the Prime Minister saying that crypto poses an imminent threat and the world should come together to solve it. The RBI is also very clear in its stance against crypto exchanges. Everybody agrees that crypto coins have no underlying assets,” says Patel of Infibeam Avenues.

Having said that, while across the world, many countries such as Japan, Singapore, the UK, and the US have implemented regulatory frameworks for cryptos, when it comes to India, the authorities are still trying to find answers. The fact that taxing cryptos does not make them legal and it is still an unregulated market leaves the possibility of banning or regulating the sector wide open.

Indian exchanges, meanwhile, claim that they have been following a self-regulatory approach, which includes abiding by KYC verification and anti-money laundering (AML) compliance policies. “Crypto exchanges in India, registered as part of BACC (Blockchain and Crypto

Assets Council), adhere to mandatory KYC measures as well as other security measures such as transaction monitoring to ensure a safe environment for all investors. There are always risks with respect to wallets owned by exchanges, which we try to mitigate. We encourage users to keep their funds in hard wallets (key-sized physical devices which store private crypto keys offline and connect to a computer via USB) where possible,” says Subburaj. BACC is an industry body of crypto exchanges in India and a part of the Internet and Mobile Association of India (IAMAI).

Given that exchanges have full ownership of virtual tokens and

there have been umpteen instances where exchanges were shut down or hacked, experts say there is an urgent need for stringent regulation of crypto exchanges. They are currently self-governed, but that may not be enough given the large user base of these exchanges.

Going back to Cotten, he ran the business from his laptop and had exclusive access to the majority of funds. The same chapter should not be repeated in India. A clear regulatory environment can help millions of Indians in making the right decision. **BT**

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CRYPTO TRANSACTIONS RECORD EVERYTHING AND NOTHING GETS UNRECORDED. SO, TO GET THE RECORD, THE GOVERNMENT SHOULD MANDATE EXCHANGES TO PROVIDE THE TRAIL OF TRANSACTIONS. TAXATION IS A VERY HARSH, LUMPY AND BLUNT KIND OF MEASURE ”

**SUBHASH
CHANDRA GARG**

FORMER FINANCE SECRETARY,
GOVERNMENT OF INDIA